

JUSTIFICATION FOR AN EXCEPTION TO FAIR OPPORTUNITY

Acquisition Title: Independent Systems Acceptance and Verification for the Exchange (ISAVE) Bridge

Agency: Centers for Medicare & Medicaid Services (CMS)

Acquisition Year: 2025

Author: Justin Dull, Jeremy Garvin, and Carrie Vien

1. Description of Action:

A. Nature

- a. ☐ New Requirement
- b. ☒ Follow-On Order
- c. ☐ Modification of Existing Task Order

B. Order Against

- a. HHSM-500-2016-00060I Strategic Partners Acquisition Readiness Contract (SPARC) IDIQ

C. Contract Type

- a. ☒ Firm-Fixed Price
- b. ☐ Time and Materials
- c. ☐ Cost Plus Fixed Fee (CPFF)
 - i. ☐ Term
 - ii. ☐ Completion
- d. ☐ Cost Plus Award Fee (CPAF)
- e. ☐ Other: _____

D. Projected Cost / Price: \$2,500,000.00

E. The total estimated value of the proposed sole source action (for modification only):

 N/A

F. Funding Source (s): 0511: Federally-Facilitated Exchange_Reimb:Mand

G. ☒ Basis for Approval (FAR 6.303-1(d))

 X : Individual Basis

 : Class Basis

On March 18, 2020, CMS issued a task order using fair opportunity procedures for severable professional services to support Marketplace Testing Support Team (MTST). The awardee was TISTA Science and Technology Corporation. The term included a 12-month base period followed by four, consecutive, one-year option periods. The last option period included a transition-out task to be performed in the final six months. The contract number is HHSM-500-2016-00060I / 75FCMC20F0002. CMS issued the order under the Strategic Partners Acquisition Readiness Contract (SPARC), a multiple-award Indefinite Delivery Indefinite Quantity (IDIQ) contract.

The periods of performance (POP) were as follows:

Base Period March 23, 2020 to March 22, 2021

Option Period 1 – March 23, 2021 to March 22, 2022

Option Period 2 – March 23, 2022 to March 22, 2023

Option Period 3 – March 23, 2023 to March 22, 2024

Option Period 4 – March 23, 2024 to March 22, 2025 (the last 6 months of which were intended to provide transition-out services to a new contractor)

Subsequently on September 20, 2024, CMS issued a follow-on task order for CCIIO Independent Testing Support Services (CITSS) to Titania Solutions Group, Inc. The order included a period of performance from September 23, 2024 through September 22, 2029. On September 30, 2024, GAO notified CMS of a protest to the award. On October 1, 2024, CMS issued a stop work order to Titania. Tista could not begin transitioning the work over to Titania due to the stop work order.

On November 12, 2024, the protestor withdrew their protest, and CMS lifted the stop-work order.

In order to provide 6 full months of transition out services, CMS needs to procure an additional two-month period of transition services. Therefore, CMS contemplates award of a relatively short-term follow-on task order to bridge the two orders described above to continue the ISAVE services and complete the transition out task. The term of this contemplated “bridge” task order will be two months from March 23, 2025 through May 22, 2025.

2. Description of Supplies or Services:

CMS requires two months of severable, professional services to support ISAVE and CITSS. ISAVE is the independent tester, supporting software quality assurance for the Affordable Care Act (ACA) related systems and processes hosted in a cloud platform.

The solicitation requirement is 250335J.

3. Authority and Rationale:

The Contracting Officer shall give every awardee a fair opportunity to be considered for a delivery/task order exceeding \$3,000 unless one of the following statutory exceptions applies. [FAR 16.505\(b\)\(2\)](#). Mark the applicable exception:

☐ The agency need for the supplies or services is so urgent that providing a fair opportunity would result in unacceptable delays [\[FAR 16.505\(b\)\(2\)\(i\)\(A\)\]](#);

☐ Only one awardee is capable of providing the supplies or services required at the level of quality required because the supplies or services are unique or highly specialized [\[FAR 16.505\(b\)\(2\)\(i\)\(B\)\]](#);

☒ The order must be issued on a sole-source basis in the interest of economy and efficiency because it is a logical follow-on to an order already issued under the contract, provided that all awardees were given a fair opportunity to be considered for the original order [\[FAR 16.505\(b\)\(2\)\(i\)\(C\)\]](#);

It is more economical and efficient to award a logical follow-on order to TISTA to permit them to complete the transition-out services rather than to compete and award a new task order. It would not be logical to compete a task order for the completion of a specific contractor's (TISTA's) services to hand the work off to the newly selected contractor.

It would not be economical in that it would be highly unlikely that competition would result in cost savings for a new contractor to perform the required hand-offs. It would not be efficient in that the government would have to solicit and evaluate proposals and select a winning contractor. This would create unnecessary demands on CMS resources. Additionally, the competitive procurement would require about 105 days from release of the solicitation to award (based on current CMS procurement lead time standards) and could not be completed by the end of March 2025. As mentioned, previously, CMS competitively awarded the existing task order providing fair opportunity to all eligible SPARC awardees. It is not reasonable to believe that any potential source other than the incumbent would be selected as the awardee in any fair opportunity / competitive acquisition given the additional cost, time and performance risk associated with such a source selection.

____ It is necessary to place the order to satisfy a minimum guarantee [[FAR 16.505\(b\)\(2\)\(i\)\(D\)](#)].

____ A statute expressly authorizes or requires that the purchase be made from a specified source.

4. Provide a statement of the actions, if any, the agency may take to remove or overcome any barriers that led to the exception to fair opportunity before any subsequent acquisition for the supplies or services is made:

None, because CMS already removed barriers for fair opportunity and competed the procurement for the required services. However, due to protest-caused delay, CMS needs to procure additional services to complete the transition out.

5. State any other facts supporting the justification:

This sole source task order will greatly benefit CMS by allowing continuation of the ISAVE and CITSS transition out task. This will provide testing services until the new contractor is on-boarded and avoids major disruptions to CMS business and technical staff to focus on transition activities. This task order will also mitigate the risk for premature loss of essential technical staff resources and expertise during this period.

Approvals:

1. **Program Office Certification.** This is to certify that portions of this justification have been developed by the undersigned program office personnel, including supporting information and/or data verifying the Government's minimum needs, schedule requirements and other rationale for Exceptions to Fair Opportunity, which form the basis for this justification.

Justin C. Dull -S

Digitally signed by Justin C.
Dull -S
Date: 2025.02.05 12:52:34
-05'00'

Contracting Officer Representative (COR) / Date

Mary De Luca -S

Digitally signed by Mary De Luca -S
Date: 2025.02.05 15:13:38 -05'00'

Program/Project Manager (P/PM) / Date

2. **Contracting Officer Certification and Best Value Determination:**

This is to certify that the justification for the proposed acquisition has been reviewed and that to the best of my knowledge and belief, the information and/or data provided to support the rationale and recommendation for approval, is accurate and complete.

By my signature below, after review of the relevant documents, I have determined that the order subject to this Justification represents the best value for the Government as set forth in FAR 16.505(b)(2)(ii)(B)(5), and constitutes a fair and reasonable price. The basis for my determination is as follows:

The total estimated firm fixed price amount of \$2,500,000.00 for the two-month period was determined by using the actual prices paid against recent monthly invoices submitted by TISTA under the current ISAVE task order. The total estimated price for this sole source task order falls in line with historical costs incurred for the same effort. As certified cost or pricing data will be required for this sole source acquisition, the CO and CS will use cost analysis to evaluate the reasonableness of individual cost elements as required by FAR 15.404-1(a)(3). The CO and CS will also use price analysis to verify that the overall price offered is fair and reasonable.

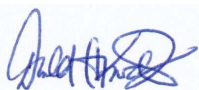
Jeremy Garvin -S

Digitally signed by Jeremy
Garvin -S
Date: 2025.02.06 07:39:10 -05'00'

Contracting Officer / Date

3. **CMS Competition Advocate Approval**

I have reviewed this Exception to Fair Opportunity and find that it adequately supports other than full and open competition.



Digitally signed by Donald Knode
-S
Date: 2025.02.20 10:02:21 -05'00'

Name / Date

4. Head of Contracting Activity (HCA) Approval

I hereby confirm that the circumstances described above apply and approve this Justification for Exception to Fair Opportunity.

 N/A
HCA Name / Date

5. Office of Small and Disadvantaged Business Utilization

 N/A
Name / Date

6. OGC Legal Review

 N/A
Name / Date

7. HHS Competition Advocate Approval

 N/A
Name / Date

8. Senior Procurement Executive (SPE) Approval

Based on the foregoing justification, I hereby confirm the circumstances described above apply and approve the Justification for Exceptions to Fair Opportunity.

 N/A
SPE Name / Date